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GROUP 17 PRESENTATION

CATHAY PACIFIC FINANCIAL ANALYSIS

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— 1.1 ***ABOUT CATHAY PACIFIC...***

An International Airline

Providing air travel services

Passenger Flight

operates a vast network of passenger flights, connecting major cities

Cargo Services

offering efficient and reliable transportation solutions for businesses and industries worldwide.

Alliance

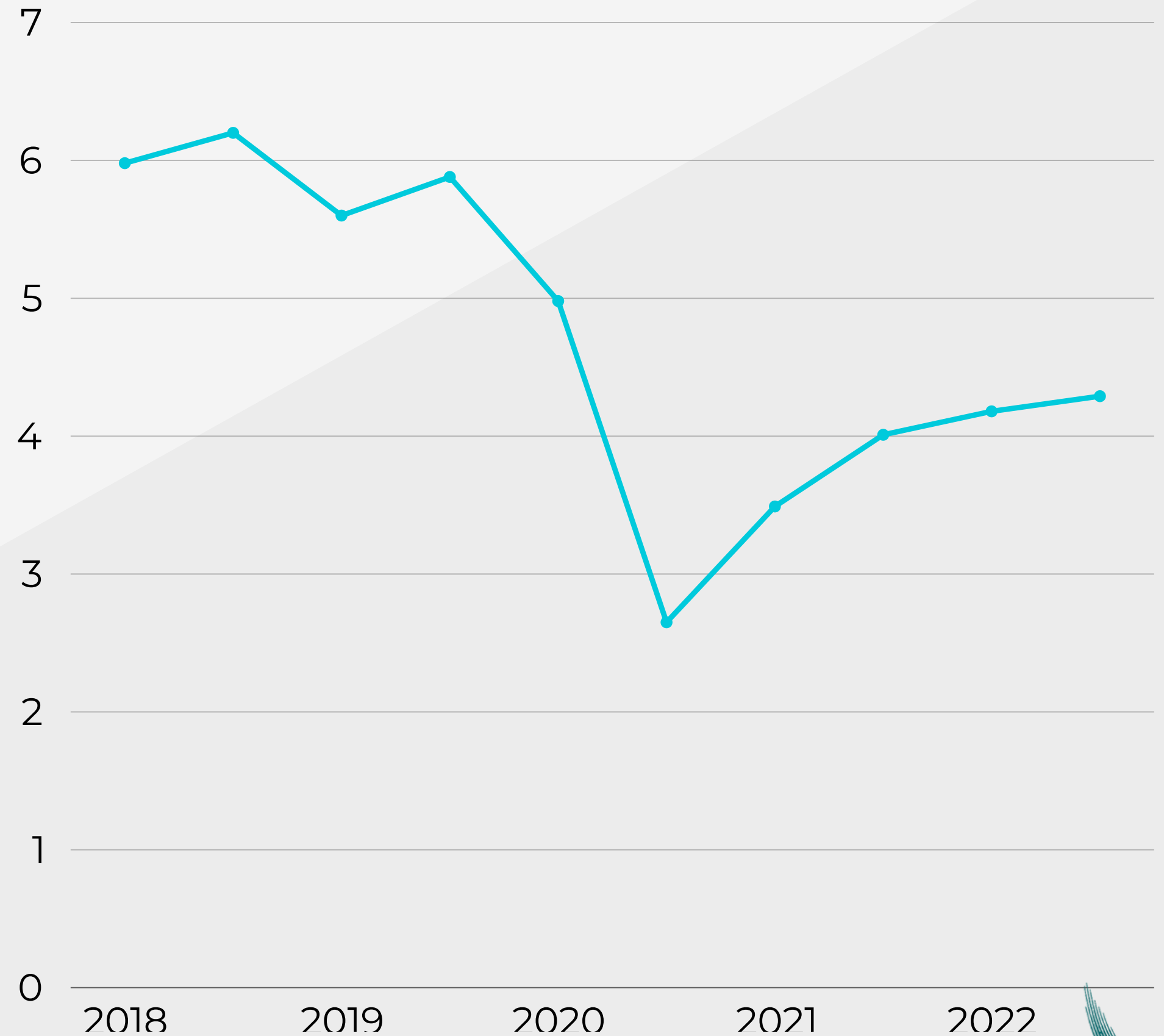
provide passengers with a wider range of travel options.





— 1.2 **MARKET CAPITALIZATION**

- Dropped significantly during 2020-2021 due to pandemic
- What can be done to rehab?

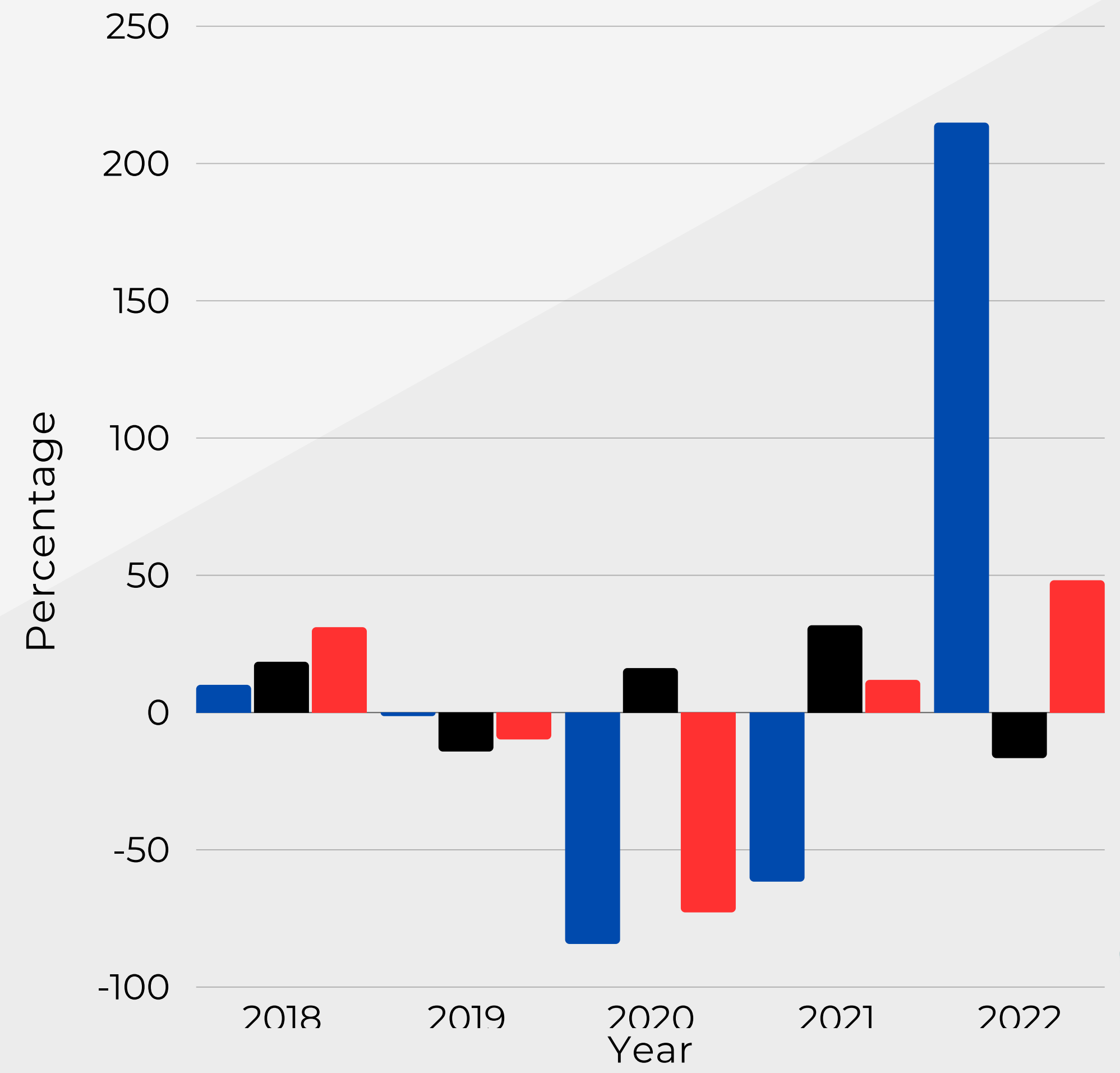




— 1.3 —

BUSINESS PERFORMANCE FROM 2018-2022

- Passenger Service
- Cargo Service
- Other Service and Recoveries



1.4 FUTURE OF CATHAY PACIFIC



07.2024

Buy back all shares
from the government
sold for rescue
package at

2024

Cathay Pacific
Aims to Hire 5,000
More People in
2024



12.2023

target to achieve 70%
of 2019 levels with
more than 80
destinations served

2024

Full recovery with
the third runway
international airport

2030

set a goal of 10%
sustainable aviation
fuel in flight
operations by 2030



Revenue

Analyze the revenue and trend from 2018-2022

Cash Flow

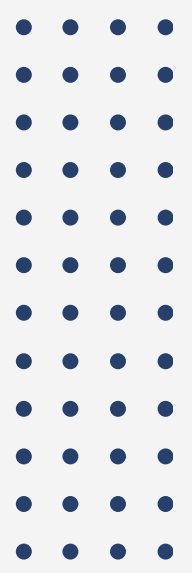
Analyze the cash flow, trend and future worth from 2018-2022

FINANCIAL SITUATION ANALYSIS



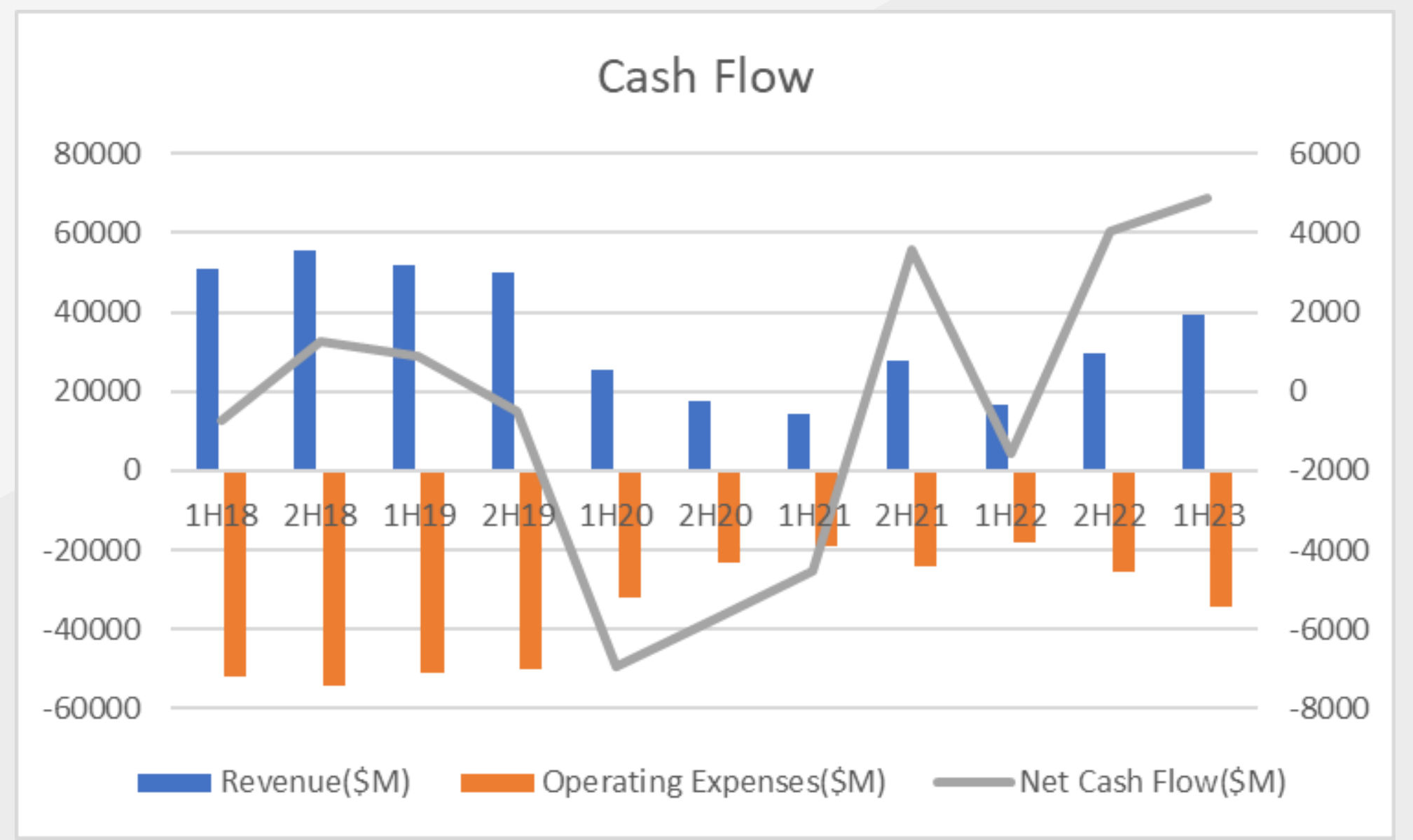
Operating Expenses

Analyze the expenses and trend from 2018-2022



2.1 CASH FLOW FROM 2018-2022

(HK\$ Million per unit)



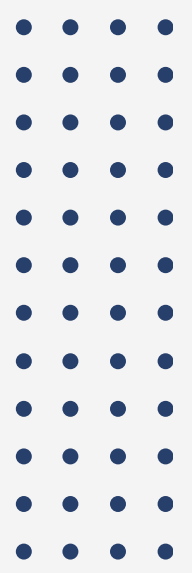
Year



CASH FLOW

	1H18	2H18	1H19	2H19	1H20	2H20	1H21	2H21	1H22	2H22	1H23
Revenue(\$M)	51027	55485	51850	49756	25325	17403	14364	27820	16641	29741	39273
Operating Expenses(\$M)	51770	54205	50943	50272	32268	23130	18909	24235	18185	25715	34383
Net Cash Flow(\$M)	-743	1280	907	-516	-6943	-5727	-4545	3585	-1544	4026	4890

MARR=10%,so
FW(2023 1st half)=-HK\$13,925.96



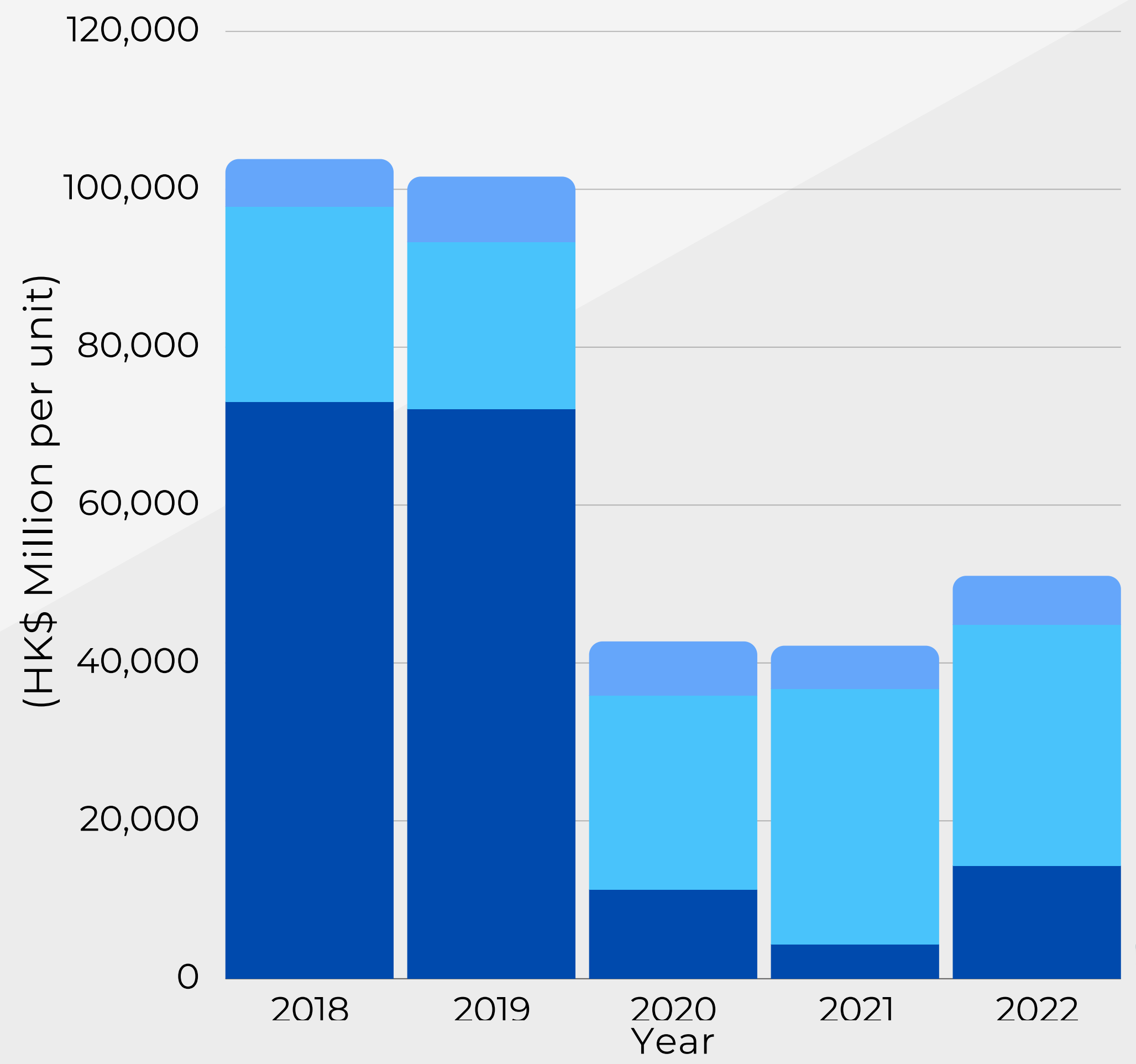
— 2.2

NET REVENUE

FROM 2018-2022

The revenue made each year

- Passenger Service
- Cargo Service
- Other Service and Recoveries





NET REVENUE 2.2

From 2018 - 2022

- Overall Performance

The total revenue has significantly dropped due to the outbreak of COVID-19 in 2020, and is slowly recovering because of the Hong Kong government loosening the COVID-19 Rules in 2022.

- Change of Focus

The main revenue in the 2018 - 2019 is passenger service, but due to the pandemic, the highest revenue has turned into cargo service.

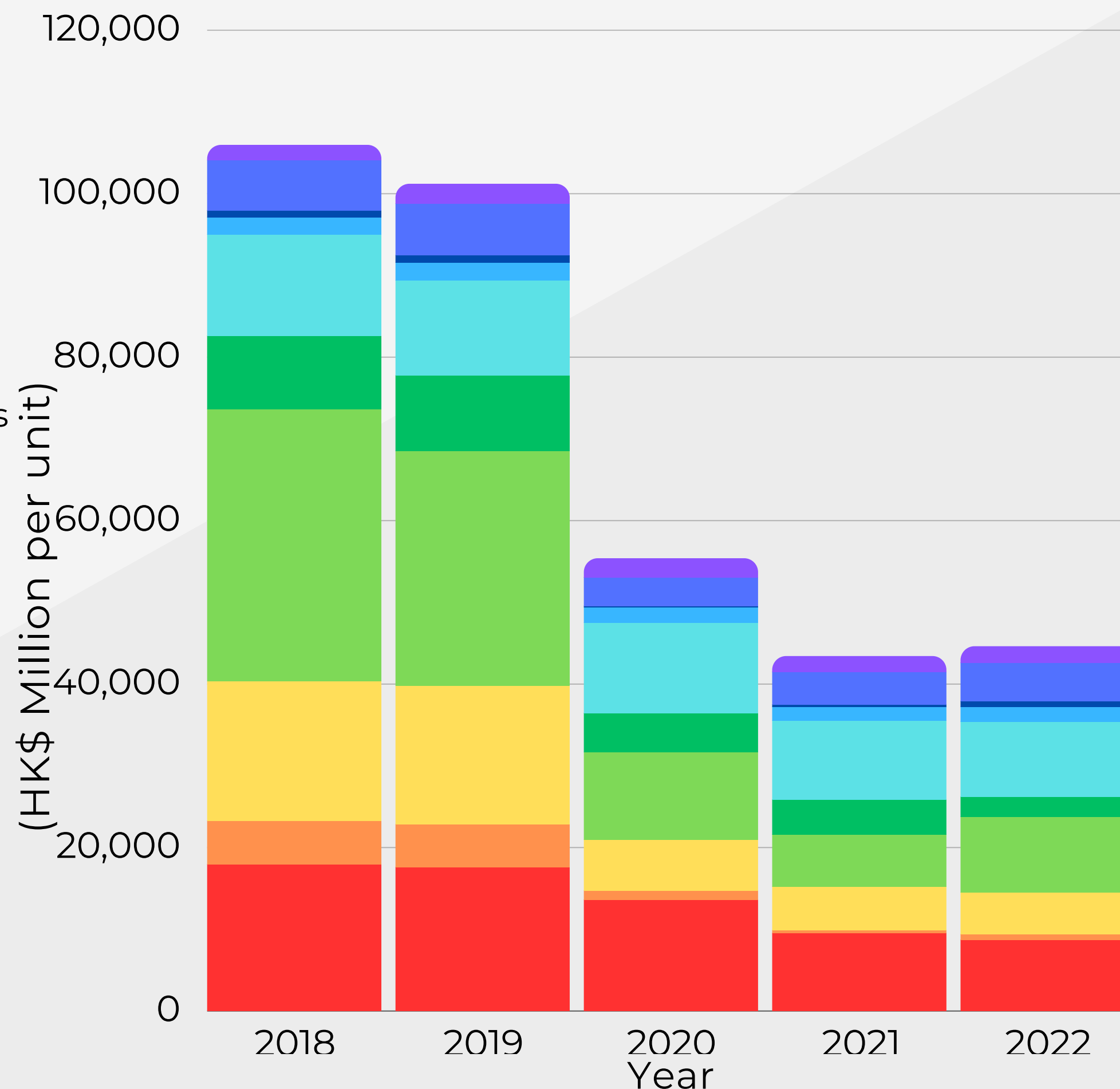


OPERATING EXPENSES 2.2

FROM 2018-2022

Without Taxation

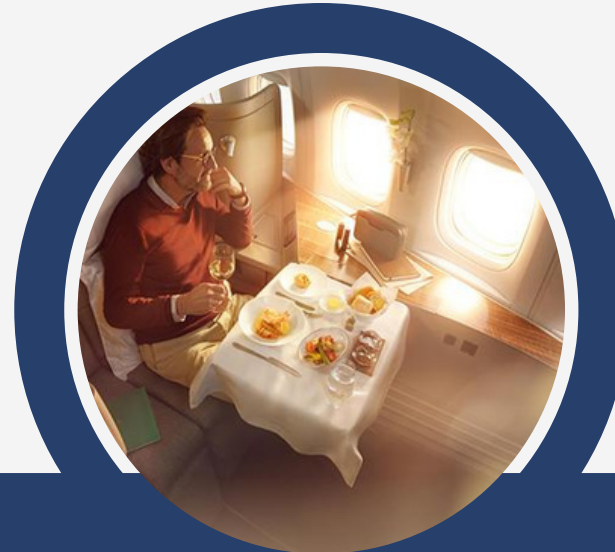
- Staff
- Inflight service and passenger expenses
- Landing, parking and route expenses
- Fuel, including hedging gains
- Aircraft maintenance
- Aircraft depreciation and rentals
- Other depreciation, amortisation and rentals
- Commission
- Others
- Net Financial Charges



2.2

OPERATING EXPENSES

From 2018 - 2022



Expenses that dropped the most
Inflight service and passenger expenses have dropped the most (-87.0%) with less passengers can travel to the other places because of the regulations and laws



Overall Expenses

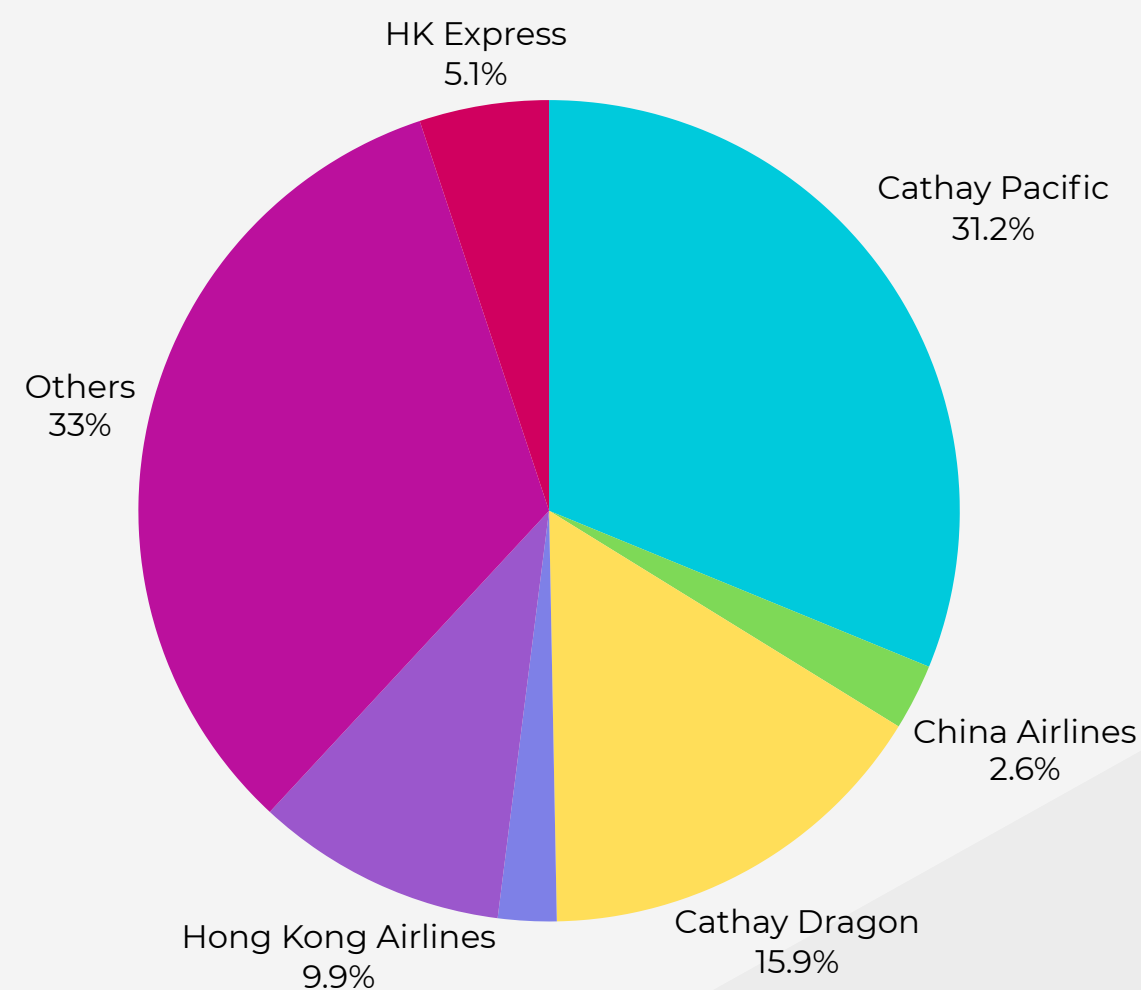
Due to all the regulations announced by the government during the pandemic, less flights could be flown. Hence, overall expenses decreases together with the revenue.



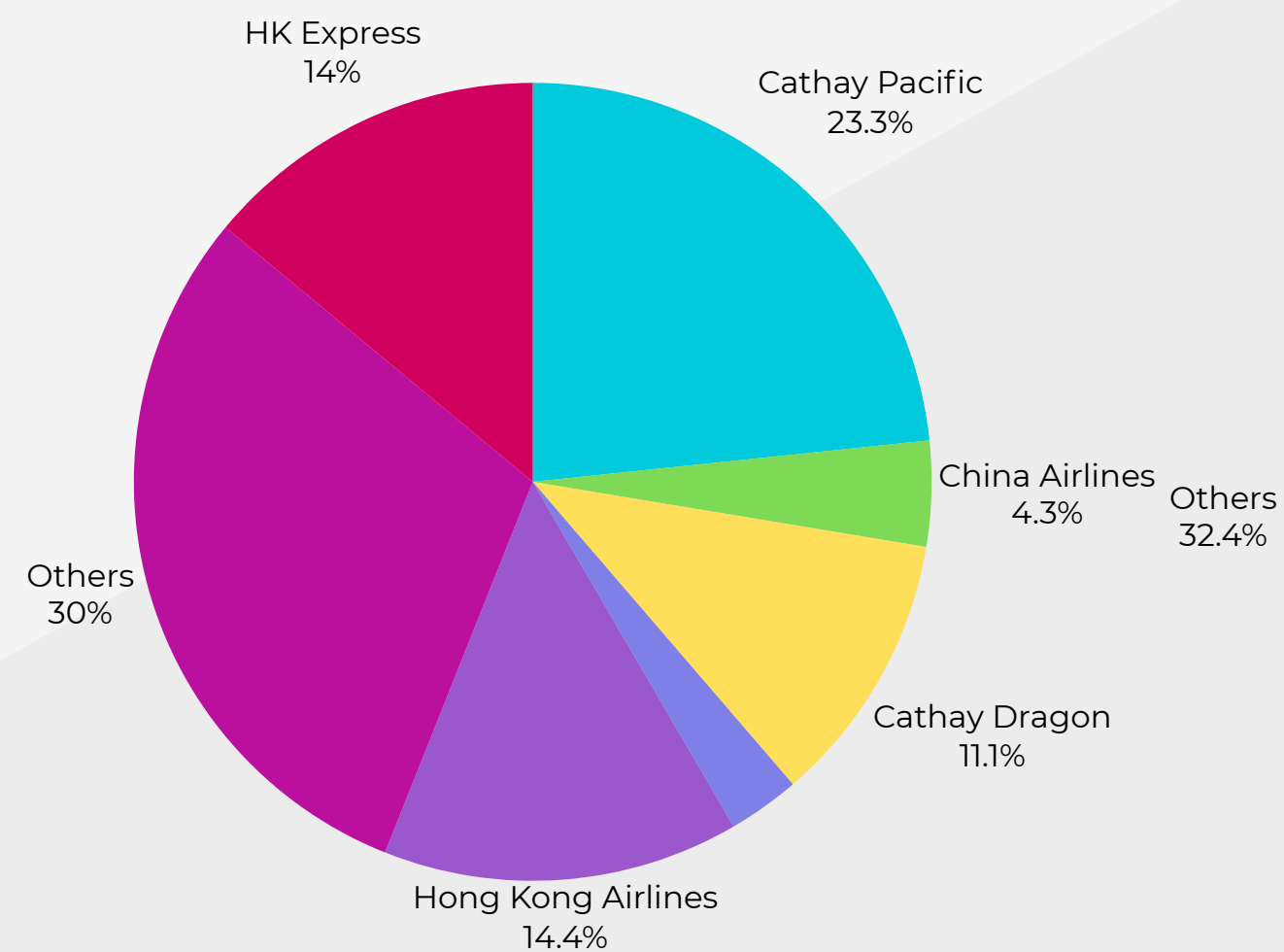
Expenses that dropped the least
Other depreciation, amortization and rentals have dropped the least (-12.7%) as these three aspects variate with the time of different items, i.e. machines. And most of these have a regular rate.

2.3 MARKET SHARE COMPARISON

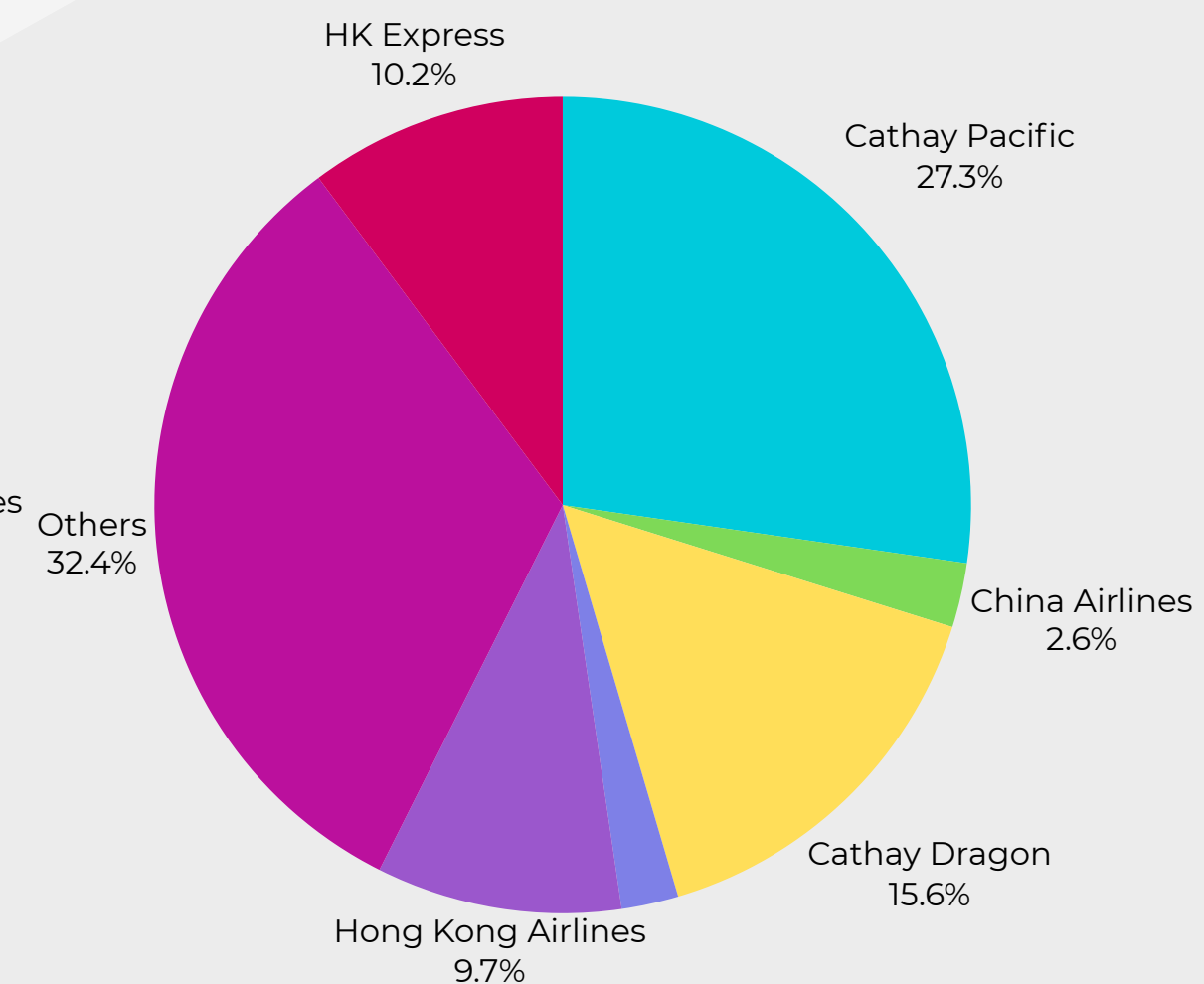
■ Cathay Pacific ■ China Airlines
■ Cathay Dragon ■ China Eastern Airlines
■ Hong Kong Airlines ■ Others ■ HK Express



2018



2020

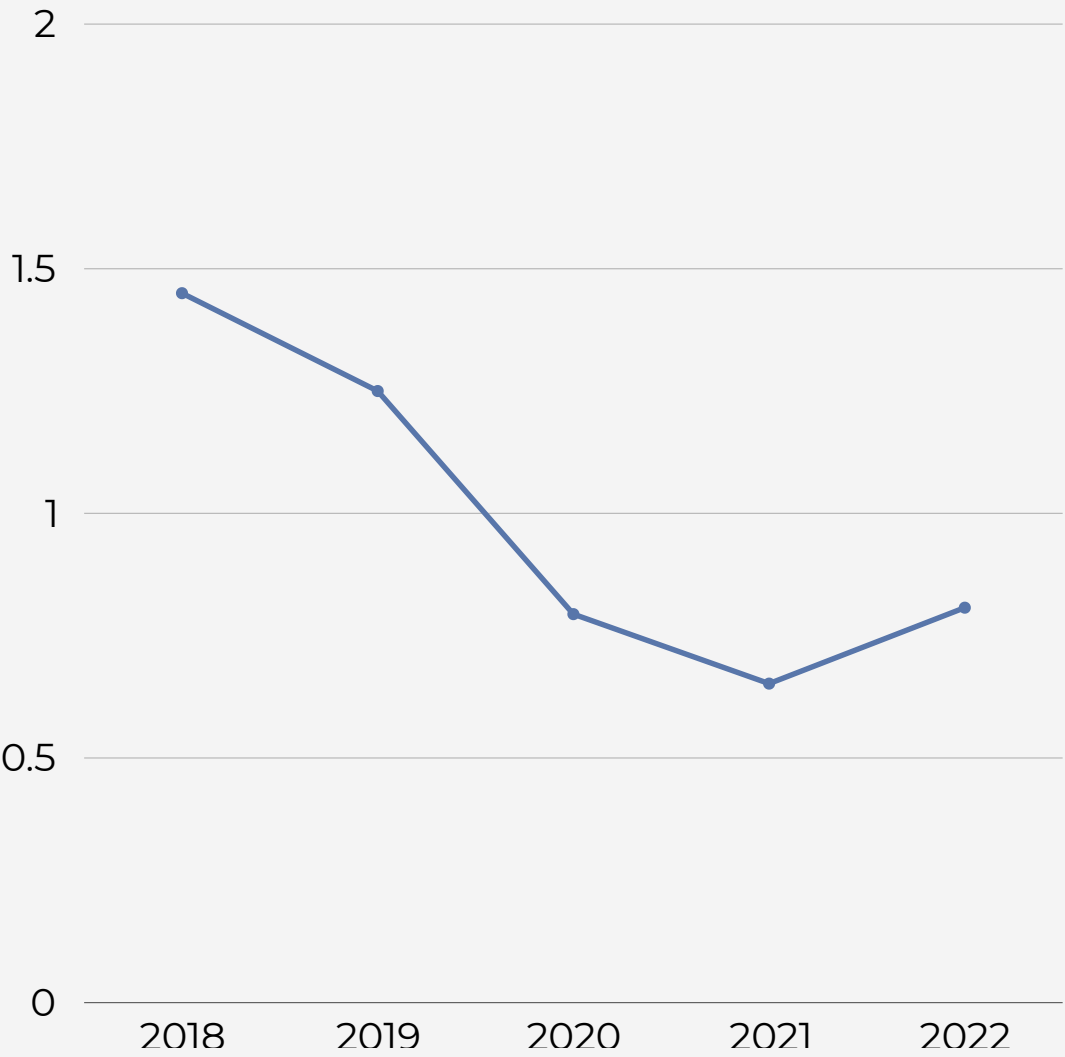


2022



3.1

Debt Coverage Ratio



2018	2019	2020	2021	2022
1.45	1.25	0.79	0.65	0.807

4.1 SWOT ANALYSIS

- Strong financial position
- Extensive route network
- Strong brand reputation

- High operating costs
- Overdependence on premium travel

- Growing Asian travel market
- Expansion into new markets
- Potential rise in cargo service

- Intense competition
- Economic instability

Only key points have pointed out here



RECOMMENDATIONS 4.1 AND IDEAS

Revenue

- Expansion into new markets, especially the Greater Bay Area
- Expansion into more cargo service
- Attract regular customers to use the service with its strong brand reputation

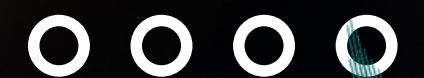




RECOMMENDATIONS 4.1 AND IDEAS

Expenses

- Develop big data, AI, and automation to decrease labor cost
- Continuously evaluate and optimize operating costs
- Sign longer term contract with fuel supply company to reduce costs





THANK YOU

Group 17
Cathay Pacific Financial Analysis

